

Chief Justice's Court

Case :- WRIT - C No. - 7764 of 2011

Petitioner :- M/S K.L. Concast Pvt. Ltd.

Respondent :- Paschimanchal Vidyut Vitran Nigam Ltd. And Others

Petitioner Counsel :- Mayank Agrawal

Respondent Counsel :- A.N. Singh, Pankaj Kumar Shukla

Hon'ble Ferdino Inacio Rebello, Chief Justice

Hon'ble Vineet Saran, J.

Put up tomorrow, i.e. 11.02.2011 as fresh.

(Vineet Saran, J.) (F.I. Rebello, C.J.)

Order Date :- 10.2.2011

AHA

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Connect with Writ Petition No. 16338 of 2008 and all other connected petitions on Board on 24.2.2011 as fresh at 2:00 p.m.

Order Date :- 11.2.2011
RK

(Vineet Saran, J) (F.I. Rebello, CJ)

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The petitioner, in the instant case, has approached this Court and sought the following reliefs: -

"a) issue a writ, order or direction in the nature of mandamus directing the respondents to grant load factor rebate to the petitioner in past and future consumption bills as per the tariff order dated 15 April, 2008 w.e.f. 28th April, 2008 and 31.03.2010 (2009 - 2010) pertaining to HV - 2 category of consumers, including the bill dated 29.5.2009.

b) issue a writ, order or direction in the nature of certiorari quashing the order dated 6.10.08, issued by the respondent no.4 and 11.11.2008 issued by the respondent no.1 (Annexure no.5 and 6 to the writ petition).

c) issue a writ, order or direction in the nature of mandamus directing the respondents to calculate load factor rebate since May, 2010 and to grant the actual credit to him in future consumption bills.

d) Award the cost of the petition to the petitioner."

The entire issue, therefore, is whether the petitioner is entitled for load factor rebate. The stand of the respondents, as can be seen from the bill dated 28.10.2010 is that the load factor rebate has been denied to the petitioner, as they failed to give an additional security amount, as required.

The petitioner is running an induction furnace and his sanctioned load is 5543 KVA. According to the petitioner, it has been paying its monthly bills regularly and has never defaulted in payment of the same and nor has been assessed for any malpractice or theft whatsoever. The petitioner further states that it has never been in arrears of electricity dues at any point of time in any month and nor any arrears reflected in the regular consumption bills issued to the petitioner raised as per Clause 6.1(g) of the U.P. Electricity Supply Code, 2005 (hereinafter referred to as the 'Code').

According to the petitioner, it sought additional load which was granted. That was, however, subject to grant of additional security in the form of bank guarantee. That was challenged by the petitioner by filing a writ petition before this Court, wherein this Court has been pleased to stay the demand of additional security. That petition is pending and the stay order is operating in favour of the petitioner and has not been vacated by any Court of law.

According to the petitioner, as per the agreement entered into between the Power Corporation and the petitioner, the petitioner had to deposit advance security towards electricity consumption and the said security would be refunded upon the termination of the agreement after satisfaction of payment of all the dues payable to the licensee.

For the financial years 2007-2008 and 2008-2009, a tariff order was promulgated by the U.P.F.R.C. on 15th April, 2008 which came into force with effect from 28th April, 2008, and for 2009-2010 with effect from 31.03.2010. Clause 5 of the rate schedule pertaining to HV-2 category at page 287 makes for a provision that for any excess consumption over the defined KVAH per KVA of maximum demand recorded, a graded rebate is allowable on the energy charges for such excess consumption as per the procedure in table 5 of the tariff order on monthly basis. It further provides that the load factor rebate is not allowable to a consumer if he is in arrears and in case the consumer has obtained stay order from a Court or any other statutory authority, the amount of load factor rebate, for which the consumer is eligible in respect of the amount of bill, shall be calculated and the same shall accrue to the account of the consumer. The actual credit thereof shall not be allowed to the consumers until the case is finally decided by the Court or the

statutory authority.

The petitioner further states that in terms of the said tariff order, load factor rebate was being conditionally provided as admissible till May 2010. Since June 2010 till the filing of the present petition, the petitioner has not been given the load factor rebate on the pretext that they are in arrears of the additional security, though the amount of additional security has not been shown as arrears at any point of time. According to the petitioner, this amounts to retrospectively withdrawing the load factor rebate granted to it by not granting the load factor rebate.

The petitioner, on enquiry from respondent no.2 for non-grant of load factor rebate, was informed by respondent no.2 that the same has been disallowed as per order dated 06.10.2008 passed by respondent no.4. The petitioner states that from the order dated 06.10.2008, it appears that on 09.09.2008, respondent no.2 wrote a letter to respondent no.4 regarding refund of load factor rebate in respect of consumers who have not deposited the additional security. In response to the above letter dated 09.09.2008, respondent no.4 vide his letter dated 06.10.2008 informed that if required additional security is not deposited, then it will fall within the meaning of 'arrears' and the tariff order bars the eligibility of load factor rebate to consumers with arrears. It is pursuant to this

letter that the respective authorities were directed to comply strictly with the said directions. It is on account of that the load factor rebate has been denied to the petitioner.

The short question for consideration, therefore, is whether failure to give additional security deposit amounts to arrears? Para 5 of the rate schedule HV-2 pertains to load factor rebate. Note appended to said Paragraph sets out reads as under: -

"Note: Consumer with arrears shall not be eligible for the above rebate..."

On behalf of the respondents, our attention has been invited to the U.P. Electricity Supply Code, 2005. Paragraph 4.20 - (l) reads as under: -

"4.20 - (l) A distribution licensee shall not be entitled to require security in pursuance of this section, if the person requiring the supply is prepared to take the supply through a pre-payment meter, as and when distribution licensee provides a choice to consumer to opt for supply through pre-payment meter."

In so far as this provision is concerned, all that it speaks is that no security is required if the person requiring the supply takes the supply through a pre-payment meter. This aspect has nothing to do with rebate.

To answer the issue, we may gainfully refer to a Division Bench judgment of this Court in **Tehri Girders Ltd. & Anr. Vs. Paschimanchal Vidyut Vitran Nigam Ltd. & Ors., Civil Misc. Writ Petition No. 38 of 2009** decided on 15th October, 2009 along with other petitions. In that judgment, the letter dated 6th October, 2008 of the State Electricity Regulatory Commission was considered. The issue for consideration before the Division Bench was whether failure to give additional security would amount to arrears? The learned Bench relied upon the provisions of the Electricity Act, provisions for security deposit in terms of the Code, provisions for recovery of arrears and also placed reliance on the judgment of the Supreme Court in the case of **Ferro Alloys Corporation Ltd. Vs. A.P. State Electricity Board & Anr., 1993 Supp (4) SCC 136** and the Division Bench judgment of this Court in the case of **Mirzapur Electric Supply Company Limited Vs. The State of U.P. & Ors., AIR 1975 (All.) 29**, and after considering the same, the learned Bench was pleased to hold that the additional security cannot be treated as dues, which is to be recovered from the petitioners therein. The learned Division Bench was pleased to observe, as noted by the Supreme Court, that the true nature of the transaction in these cases is one of advance payment of charges for consumption of electricity estimated for a period of approximately three months. Such an advance is liable to

be made good and kept at the stipulated level from month to month and it is open to the consumer to permit adjustment of the advance in the first instance. The consequence for not giving the security deposit was also noted and it was observed that all that would follow is that the supply could be disconnected if the additional security is not granted. It may be noted that the security deposit is a condition for grant of additional load factor rebate. The consequence of not giving additional security would be that the respondents herein need not release the additional load factor in favour of a person who seeks such additional load factor. Considering the law, as now declared, such additional security, which is in terms of the condition for granting additional load factor, cannot be held as money due from the person to the licensee and to be categorised as arrears. Thus, in our opinion, this issue admittedly is answered. We have no reason to take a different view and, consequently, the demand by respondents 1 and 2, based on the letter of respondent no.3 is clearly illegal.

In the light of that, we are clearly of the opinion that the respondents cannot deny to the petitioner the load factor rebate.

Considering this, the respondents are directed to grant load factor rebate in respect of the petitioner by adjusting the amount against further bills, which the petitioner is entitled. In the event, the

respondents choose to adjust the amount against further bills, the respondents to inform the petitioner within three weeks from today. Otherwise the respondents to pay the amount of load factor rebate to the petitioner with within eight weeks from today.

The writ petition is allowed with the aforesaid directions.

Order Date :- 24.2.2011
Anupam/AHA

(Vineet Saran) (F.I. Rebello, C.J.)